16

The role of the nominated bank

Learning objectives

This chapter describes the role and responsibilities of a nominated bank.

By the end of this chapter, you should be able to:

- describe the concept of a bank 'acting on its nomination'; and
- understand what it means to be a nominated bank.

16.1 What is a 'nominated bank'?

As discussed in previous chapters, and in simple terms, a documentary credit constitutes an irrevocable undertaking of an issuing bank to honour – that is, to pay at sight, to accept a draft drawn on it and pay at maturity or to incur a deferred payment undertaking and pay at maturity – when a complying presentation is made to it.

A beneficiary – rather than being required to make a presentation directly to an issuing bank, which in most cases will be located in a different country or region – will generally prefer the option of being able to present its documents to a local or preferred bank for honour or negotiation.

It may be that an issuing bank will permit a beneficiary to present its documents to a bank in its country or region with the view that such bank will act as a trusted intermediary between the two parties.

It may also be that a beneficiary will request such local or preferred bank only to examine its documents before they are sent to the issuing bank, so that any discrepancies can be corrected conveniently and with minimal delay, without requesting such bank to honour or negotiate, or to request

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such bank to honour or negotiate only when the issuing bank has taken up the documents.

As can be inferred by its title, a 'nominated bank' can fulfil these requirements – that is, it is a bank nominated by the issuing bank in its documentary credit, which may offer to honour or negotiate a complying presentation that the beneficiary makes. It may also be a bank that merely receives the documents from the beneficiary to facilitate presentation within the expiry date and presentation period.

To this extent, **UCP 600, article 2**, defines a 'nominated bank' as follows.

> **Nominated bank** means the bank with which the credit is available or any bank in the case of a credit available with any bank.

It should be noted that even though a bank may be named in the documentary credit as the nominated bank, unless such bank is also the confirming bank, it is under no obligation to act on that nomination.

Even if it does agree to act, it may impose its own conditions for doing so, which may include a right of recourse to the beneficiary in the event that the issuing bank does not reimburse it according to the terms and conditions of the documentary credit. The circumstance under which recourse is available is covered in Chapter 17.

A nominated bank may be described in the context of a single (named) bank or as 'any bank' – that is, in the case of the latter, the beneficiary will have a choice of bank with which it may present its documents. This allows the situation in which presentations under the same documentary credit can be presented to different banks.

It is important to note the context in which a nominated bank is referred to in UCP 600. For example, **UCP 600, sub-article 6(a)**, provides as follows.

> **a.** A credit must state the bank with which it is available or whether it is available with any bank. A credit available with a nominated bank is also available with the issuing bank.

In this context, reference to 'nominated bank' is in respect of an indication in the documentary credit of the bank, other than the issuing bank, with which it may possibly be available for honour or negotiation.

However, in **UCP 600, sub-article 14(a)**, we see the first reference to a 'nominated bank acting on its nomination'.

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a. A nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank must examine a presentation to determine, on the basis of the documents alone, whether or not the documents appear on their face to constitute a complying presentation.

This sub-article is describing the responsibilities of the nominated bank once it has decided to act on the nomination to honour or negotiate.

16.1.1 UCP 600 articles that relate directly to a nominated bank

As noted in section 16.1, UCP 600, sub-article 6(a), indicates that a credit must state the bank with which it is available or whether it is available with any bank. A credit that is available with a nominated bank is also available with the issuing bank, meaning that the beneficiary may choose to by-pass a local or preferred bank – that is, the nominated bank – and present its documents to the issuing bank directly.

UCP 600, articles 7 and 8, require an issuing bank or confirming bank to honour (and, in the case of a confirming bank, to negotiate) when a nominated bank or another nominated bank does not honour or negotiate between the time at which it determines that a complying presentation has been made and the date on which payment is due under the documentary credit.

This rule reflects the circumstances under which a bank that is nominated to honour or negotiate decides not to do so (or the beneficiary does not request honour or negotiation), or where the nominated bank has initially acted on its nomination by accepting a draft drawn on it, or by incurring a deferred payment undertaking, or by agreeing to advance funds on a future date under a documentary credit available by negotiation, but fails to pay on the maturity date.

In the context of financing under a documentary credit, **UCP600, sub-article 12(b)**, provides as follows.

b. By nominating a bank to accept a draft or incur a deferred payment undertaking, an issuing bank authorizes that nominated bank to prepay or purchase a draft accepted or a deferred payment undertaking incurred by that nominated bank.

This issue will be covered further in Chapter 17.

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Because a nominated bank gives no undertaking to a beneficiary, unlike a confirming bank or an issuing bank, it is not affected by the preclusion rule mentioned in **UCP 600, sub-article 16(f)**, should it fail to provide a refusal notice in accordance with the requirements of UCP 600, sub-articles 16(c) and (d), even if it has agreed to act on its nomination to honour or negotiate.

> **f.** If an issuing bank or a confirming bank fails to act in accordance with the provisions of this article, it shall be precluded from claiming that the documents do not constitute a complying presentation.

It can be the case that documents are lost in transit between a nominated bank and the issuing bank or confirming bank. UCP 600, article 35, states that in the event of a nominated bank examining documents and determining that they are complying, and irrespective of whether or not it has honoured or negotiated those documents, an issuing bank or confirming bank will remain liable to honour (and in the case of a confirming bank, to negotiate), or to reimburse the nominated bank. In these circumstances, the issuing bank or confirming bank will invariably complete its examination based on copies of the documents that have been lost.

When a credit is stated to be transferable, and unless the documentary credit states otherwise, the nominated bank is the bank that is authorised to transfer that credit. When a documentary credit is available with any bank it must indicate the name of the bank that is authorised to effect a transfer. Transferable credits are covered in Chapter 19.

16.1.2 Indicating a nominated bank in the documentary credit

Recall that a documentary credit must state the bank with which it is available or whether it is available with any bank.

For a documentary credit issued using a SWIFT MT700 message, this will be indicated in Field 41a 'Available With … By … '. This field will indicate the name of the bank with which it is to be available or state 'Any Bank' or 'Available with Any Bank'.

Where the option 'Any Bank' or 'Available with Any Bank' is indicated, the range of banks to which a beneficiary is able to present its documents will be subject to the place of expiry that is indicated in Field 31D 'Date and Place of Expiry'. For example, if Field 31D were to state 'XX0630 Germany', documents could be presented to any bank in Germany. However, if this field were to state 'XX0630 Frankfurt', the range of banks would be narrowed to those with a Frankfurt address.

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As was noted in Chapter 10, a confirming bank need not be a nominated bank, although it is advisable that it should be.

16.2 Nominated bank acting on its nomination

UCP 600, sub-article 12(a), specifically provides as follows.

> **a.** Unless a nominated bank is the confirming bank, an authorization to honour or negotiate does not impose any obligation on that nominated bank to honour or negotiate, except when expressly agreed to by that nominated bank and so communicated to the beneficiary.

Such agreement must be communicated to the beneficiary. This can be in the advice of the documentary credit or at any time up until an agreement is given. Unless this has been done, the beneficiary should not place reliance on the nomination given in the documentary credit.

Whether the nominated bank accepts its nomination to honour or negotiate will often depend upon a variety of factors, including:

- the relationship, if any, that the nominated bank has with the issuing bank;
- the standing of the issuing bank;
- the country from which the documentary credit has been issued; and / or
- whether the nominated bank is satisfied with the means by which it is authorised to claim reimbursement.

Under UCP 600, sub-article 12(c), the receipt by the nominated bank of documents, or its examination and forwarding of those documents, does not obligate the bank in the absence of any agreement with the beneficiary, nor does it constitute honour or negotiation.

In the event that a bank agrees to act as nominated bank, it should:

- examine all documents received in terms of UCP 600, sub-article 14(a), and other related articles; and
- handle discrepant documents in terms of UCP 600, article 16, and other related articles.

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Upon effecting honour or negotiation, a nominated bank is required to dispatch the documents to the issuing bank (or confirming bank) according to the instructions stated in the documentary credit (UCP 600, sub-article 15(c)).

Reimbursement that is due to a nominated bank for any honour or negotiation made to a beneficiary is effected in accordance with the reimbursement condition that should be specified in the documentary credit. This may, for example, allow for the nominated bank:

- to debit an account of the issuing bank that is held with it;
- to claim reimbursement from another bank (a reimbursing bank) or to claim from a funding institution such as the World Bank;
- to be reimbursed by the issuing bank when the issuing bank determines that the documents represent a complying presentation; or
- to claim reimbursement from the issuing bank by SWIFT message when it determines that the documents represent a complying presentation.

16.3 Nominated bank not acting on its nomination

When a bank is nominated in the documentary credit to honour or negotiate and it decides not to do so, or the beneficiary does not request the bank to honour or negotiate, the bank acts in no greater capacity than the beneficiary in presenting the documents to the issuing bank.

Whilst it may agree, on behalf of the beneficiary, to contest any dubious or unfounded discrepancy that may be raised by the issuing bank, it is under no obligation to do so. It may choose merely to act as a form of 'post box' between the issuing bank and the beneficiary in respect of any communications relating to the documents.

The fact that a nominated bank does not act on its nomination at the time of determining that the documents comply does not stop that bank from honouring or negotiating at any future time, up to and including the date on which payment is due to the beneficiary and reimbursement is expected from the issuing bank.

For example, a number of banks will honour or negotiate only when they receive an advice from the issuing bank that the documents have been found to be compliant.

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16.4 The risks to a nominated bank

A nominated bank undertakes no independent payment obligation towards the beneficiary; accordingly, it incurs no counterparty risk with regard to the issuing bank. A different situation arises, however, if a nominated bank makes a payment to the beneficiary under a complying presentation and is unable to obtain reimbursement from the issuing bank. These issues are addressed in Chapter 17.

Questions

1. 'A documentary credit is available by deferred payment with Bank X (the nominated bank). Because Bank X has been nominated in the credit, it must incur a deferred payment undertaking if the beneficiary makes a complying presentation.' Is this statement true or false?

   A. True

   B. False

2. 'A nominated bank has received a set of documents that it has determined to be discrepant. It has issued a refusal notice, but it is sent on the sixth banking day following the day of presentation of the documents. Despite this late sending of the refusal notice, the nominated bank is not precluded from claiming that the documents are discrepant and is under no obligation to honour or negotiate.' Is this statement true or false?

   A. True

   B. False

3. When a documentary credit is available with any bank and multiple presentations are envisaged, to whom is the beneficiary to present each set of documents?

   A. The bank to which the first presentation was made

   B. Any bank willing to handle the presentation

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4. A credit is available with a nominated bank by deferred payment. Upon presentation of complying documents, it decides not to issue its deferred payment undertaking. Following receipt of the issuing bank's advice of acceptance of the documents, the beneficiary requests the nominated bank to prepay (discount) the proceeds. Which of the following is true in this event?

   A. The nominated bank may agree to do so, because the issuing bank has provided its advice of acceptance.

   B. The nominated bank may agree to do so, provided that it issues its own deferred payment undertaking.

5. Under a usance negotiation credit, when may a nominated bank act on its nomination?

   A. Only at the time of determining that the documents comply

   B. Only on the maturity date

   C. At any time between determining that the documents comply and the date on which payment is due to the beneficiary and reimbursement is expected from the issuing bank

   D. At the time when the issuing bank provides the nominated bank with its advice of acceptance of the documents

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